Lambeth

CABINET 02 FEBRUARY 2026

Report title: Revenue Budget and Medium-Term Financial Strategy Report 2026 to 2030

Wards: All

Portfolio: Acting Cabinet Member for Finance: Councillor Judith Cavanagh

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Report summary

The Medium-Term Financial Strategy (MTFS), was last presented to Cabinet in July. The July report set out our forecast of new demands arising from pressures on services as well as the increasing effects of inflation on Lambeth Council's budget, with a forecasted funding gap of £49.9m for 2026-27 and £84.378m over the four-year period.

Since July, the council has carried out its largest ever budget engagement exercise to hear the views of local people and community organisations about how the council should deal with its budget challenge. The engagement exercise reached all parts of the borough using a range of digital and traditional communications methods, and as a result over 5,000 local residents, businesses and community groups responded to the budget survey and gave their views on what services should be prioritised, how the council should save money and their ideas for how we can generate income. The respondents were self-selecting rather than a fully representative sample of the population, however, the council made sustained efforts to reach groups who are less likely to respond to council surveys through attending specific events with groups who use council services and developing an easy read survey in our libraries.

Resident views about budget priorities have been considered and taken account of in the council's Medium Term Financial Strategy and 2026-27 Budget setting process and will continue to inform decisions on the budget into the future. In particular, residents prioritised protecting services that support vulnerable people and particularly children, spending on waste and street cleaning and tackling violence and anti-social behaviour. The council is prioritising spending in these areas in line with our Lambeth 2030 ambitions. We are also reducing the number of senior managers in the council; making services more efficient through the use of technology; and using commercial approaches like hosting major events in the borough which generate income and have major cultural and economic benefits. These were identified as key priorities by residents in the budget engagement process.

We have now also had the provisional Local Government Finance settlement for the period 2026-27 to 2028-29, the first multi-year settlement since 2018. This is a welcomed and much needed commitment to stability which allows councils to take a longer-term view that was simply impossible in the previous era of one-year settlements. Government has listened to some of our concerns regarding the fair funding review we have more one-off funding than expected in the short term, due to prudent planning. While these positive changes are encouraging they cannot undo over a decade of structural underfunding. In recognition of this, the Government has put in place a transitional scheme, to smooth the scale of reductions required by 2028-29, but we believe the changes do not

fully recognise the pressures experienced by London councils like Lambeth, most acutely in temporary accommodation, adults and children social care.
We have put our case to the Government in our response to the consultation on the provisional Local Government Finance settlement and will continue to lobby for more resources on behalf of Lambeth and our residents. However, we must prepare for funding levels that do not meet the current levels of service demand and the council needs to make more difficult decisions in the coming months and years. In making these decisions, we will continue to put protect the most vulnerable in our borough while aiming to achieve financial stability and ensuring value of money for our residents.

Finance summary

This report relates specifically to the council's budget for 2026-27 and to the Medium-Term Financial Strategy (MTFS) for a further three years to 2029-30 and is presented in advance of the budget setting report which will come to Cabinet and Council in late February and early March respectively, where we will propose a balanced budget for the year. The proposed budget includes a number of savings proposals which contribute to closing the estimated budget gap over the MTFS period.

Recommendations

1. To agree and approve proposed savings summarised in Table 1 and detailed in Appendix 1.

2. To note that savings proposals in Appendix 1 are to be considered by the Equity and Justice (E&J) Panel on 22 January 2026, and that a verbal update will be given to Cabinet at the meeting.

3. To note that the Final Local Government Finance Settlement (FLGFS) is expected to be published week commencing 2 February 2026. Assumptions currently included in the MTFS will be updated as necessary following analysis of any impact from the FLGFS.

1. CONTEXT

1.1 The main objectives of the MTFS are to:

- Prioritise our resources in-line with Our Future, Our Borough: Lambeth 2030, and to ensure we achieve our 2030 ambitions:
  - Making Lambeth neighbourhoods fit for the future.
  - Making Lambeth one of the safest boroughs in London.
  - Making Lambeth a place we can all call home.
- Do so in line with our commitment to be a Borough of Equity and Justice.
- Undertake Equalities Impact Assessment on all proposals.
- Maintain a balanced budget position, and always to set a MTFS which maintains and strengthens that position.
- Provide a robust framework to assist the decision-making process within the council.
- Manage the council's finances with a forward looking four year rolling strategy.
- Deliver value for money to our residents.
- Exercise probity, prudence, and strong financial control.
- Manage risk, which includes holding reserves and balances at an appropriate and sustainable level.
- Continually review budgets to ensure resources are targeted on our key priorities.

1.2 This report sets out the progress made in meeting the challenges to Lambeth's Medium Term Financial Strategy (MTFS). The MTFS was originally approved at Budget Council in March 2025 with an update reported to Cabinet in July. At that time, a funding gap of £84.378m for the period from 2026-27 to 2029-30 was reported. This gap was generated not only as a consequence of demand pressures across council services, inflation and pay awards but assumptions for future government funding using information from the consultation on the Government's Fair Funding Review 2.0 (FFR 2.0).

1.3 All the assumptions in the July report are being reviewed and updated taking account of the Provisional Local Government Finance settlement which was announced on 17 December 2025. Work has also continued to ensure that mitigations to control demand pressures are being implemented as far as possible. Alongside this an application has been made to Government for Exceptional Financial Support (EFS) part of which is to assist in closing the budget gap for 2026-27.

1.4 Despite the financial pressures facing local government, the council has continued to focus on supporting residents through the cost-of-living crisis, making Lambeth's neighbourhoods cleaner and more climate resilient, supporting young people with opportunities, improving health and wellbeing and keeping Lambeth residents safe.

1.5 On 20 November, the Ministry for Housing, Communities and Local Government (MHCLG) published the local government finance policy statement 2026-27 to 2028-29 (policy statement), outlining the government's proposals for the 2026-27 to 2028-29 multi-year Local Government Finance Settlement.

1.6 The policy statement set out how FFR 2.0 will be implemented through the Settlement, the update to the Business Rates Retention System (BBRS), funding simplification and transitional arrangements to smooth the move to new funding levels.

1.7 We had confirmation of the removal of the remoteness factor from the funding formula more generally (though kept for Adult Social Care), continuation of the Recovery Grant and the capped Recovery Grant Guarantee and the 33 separate funding streams that would be included in our main funding or in one of four consolidated grants. There was also confirmation that core referendum principles for council tax would remain at up to 3% and the up to 2% adult social care precept would continue up to 2028-29. The policy statement did not provide exemplification for the many changes that we would see in the settlement for 2026-27, such as the implementation of FFR 2.0 and baseline reset so we had to continue to wait for the full impact on Lambeth's funding.

1.8 On 26 November, the Chancellor presented her Autumn Budget. The headline announcement from this budget included the continuation of the freeze on income tax and national insurance thresholds for another three years from 2028. Also announced was the removal of the two-child benefit limit, which should have a positive impact on nearly 1,200 of Lambeth's most vulnerable households, including 4,252 children.

1.9 A surcharge on properties valued at over £2m (at 2026 prices) will be introduced from 2028-29, with owners being liable for an additional charge of £2,500, rising to £7,500 for properties valued over £5m. Although expected to be collected by councils, the income is expected to be passed to the Treasury. Consultation on this measure is expected in early 2026.

1.10 The Budget also announced that from 2028-29, government will take responsibility for funding Special Education Needs and Disabilities spend taking over from councils. While this recognition of the pressure faced by councils is welcome, there is no clear plan for how deficits accumulated since 2020 when the statutory override was introduced (estimated to be around £14bn by the OBR) will be dealt with when the override arrangement comes to an end in March 2028.

1.11 The Provisional Local Government Finance Settlement (PLGFS) was presented to Parliament on 17 December 2025 allowing the council to have full view of the implications arising from FFR 2.0 and finalise MTFS assumptions currently in place.

1.12 As committed to in the policy statement, the settlement is for years 2026-27 to 2028-29, the first multi-year settlement since 2018. This settlement also brings together the outcome of FFR 2.0, business rates baseline reset, new valuations for business rates and new business rate multipliers for retail, hospitality and leisure and higher value properties.

1.13 Nationally, Core Spending Power (CSP) for local authorities will increase by £4.2bn in 2026-27 and by £11.1bn by 2028-29. This is heavily reliant (75%) on increases in council tax (with growth in the taxbase and maximum % increases assumed by Government in their calculations). BBRS and grant funding together make up only £1.6bn (38%) of the CSP increase for councils in 2026-27.

1.14 However, the impact on local authorities varies widely, with increases in CSP of nearly 30% for some councils compared to their 2025-26 figure, and some councils with reductions of over 15%. This variation is also seen in the difference between outer and inner London boroughs, with outer London boroughs seeing average increases of 31.5% in Fair Funding Allocation but inner London boroughs like Lambeth with average reductions of 15.5% over the 3 years.

1.15 Transitional Protection & Recovery is the mechanism the Government has used to smooth the transition from 2025-26 funding levels to the new levels based on new shares. Most councils will have protection to 100% of 2025-26 income made up of funding allocation, council tax (with growth assumptions), the grants that have been rolled into the funding allocation for 2026-27 and the recovery grant.

1.16 There is then further funding under the Recovery Grant Guarantee: a funding increase of 5% for CSP in 2026-27, another 1% in 2027-28 (i.e. 6% over 2025-26) and a further 1% in 2028-29 (i.e. 7% over 2025-26), but with a cap of £35m in total allocated over the 3 years. Most councils are expected to reach this through their new funding allocations, but 22 councils will receive funding under the guarantee in at least one year of the settlement period, of those, 4 councils (Lambeth, Islington, Southwark and South Tyneside) will have their transitional funding limited by the £35m cap. The implication for Lambeth is discussed in detail below from section 2.8.

2. PROPOSAL AND REASONS

Medium Term Financial Strategy

National Outlook

2.1 The Bank of England's (BoE) current base interest rate is 3.75%. The rate was reduced by 0.25% in December for the first time since the last reduction in August. The consumer price index (CPI) in the UK has continued to fall from the summer to 3.2% for November 2025, with food costs being a major contributor to the latest slow down in inflation. The BoE expect CPI to continue to fall to around 3% at the start of 2026, with budget measures relating to energy bills and fuel duty to lower inflation in April by around 0.5%.

2.2 Looking ahead, the outlook for interest rates depends largely on inflation trends. The BoE is cautious in its near term expectations, though it is widely expected that further gradual cuts will continue, with some predicting rates falling to 3%-3.25% by the end of 2026.

2.3 The Office for Budget Responsibility (OBR) now expects inflation to average 3.5% in 2025, 2.5% in 2026 and then to 2.0% thereafter. Real GDP growth was revised upwards to 1.5% in 2025, 0.5% higher than the March projection, but those for future years have moved downwards resulting from changes to other projected factors such as productivity growth, earnings growth and inflation.

2.4 Against the Government's fiscal targets, the OBR's forecast shows the Government will meet its target for current spending to be in balance in 2029-30 by a margin of £22bn. A greater margin than in March and increasing the probability of meeting that target to 59% from 54%. The target of falling public sector net financial liabilities in 2029-30 is also met in the central forecast, by a margin of £24bn, again higher than the March forecast.

London Context

2.5 London Councils (a cross-party organisation representing London's 32 borough councils and the City of London) through its submission and responses to FFR 2.0, Budget and provisional settlement continues to highlight the challenges facing London boroughs.

2.6 Homelessness continues to be a significant concern with analysis showing around 210,000 Londoners as homeless and living in temporary accommodating arranged by their local borough. This is a record high and includes an estimated 102,000 homeless children. Research shows a £740m annual funding shortfall for temporary accommodation in the capital, putting unsustainable pressure on budgets and absorbing resources that could be used for other vital local services.

2.7 Together with pressures in other areas such as social care, London Councils have warned that the capital may be facing £1bn funding shortfall this year and over half of London boroughs would require emergency financial support to balance their budgets by 2028.

Provisional Local Government Finance Settlement Impact on Medium-Term Financial Strategy

2.8 The Council's financial position as outlined in July 2025 Financial Planning Report to Cabinet showed a funding gap of £49.910m for 2026-27 and £84.378m over the MTFS period of 2026-27 to 2029-30. New savings totalling £14.249m for 2026-27 and £28.269m across the MTFS period were presented to Cabinet in November. The Provisional Settlement confirmed that funding will be £15.090m higher than we had estimated in July 2025 for 2026-27 and potentially £34.579m in total to the end of 2028-29 as a result of the transitional protections. The outcomes of the funding review, a review of all assumptions, including for debt costs, demand and inflation, and the final savings position will be updated as part of the final budget setting process for 2026-27 and presented at Cabinet in late February. Alongside this an application has been made to Government for EFS which includes an amount for 2026-27 to assist in closing the gap for 2026-27. Significant work remains to bring forward proposals in the next year to ensure we are able to balance the MTFS over the remaining planning period.

2.9 As a result of FFR 2.0, Lambeth's estimated share of national funding based on relative need has fallen when compared to the current formula and this has led to a significant funding reduction. The losses will be phased in during the transition period so that the move to the new funding level will be completed over three years, with the new shares coming into effect in full in 2028-29. As the current spending review (SR25) ends with 2028-29, we do not currently have information from the Government on what the funding levels will be from 2029-30 Assuming our government funding remains at 2028-29 levels but with the loss of transitional protection, there is a £36.3m reduction in funding in 2029-30 compared with 2028-29.

2026-27 to 2029-30 General Fund External Resources

2.10 Table 1 below shows the resources available for 2026-27 based on the key output from the provisional Local Government Finance Settlement. Resources for 2025-26 are restated under the headings within the new provisional settlement for comparison.

Table 1 Funding 2026-27 to 2029-30

	2025-26 £m	2026-27 £m	2027-28 £m	2028-29 £m	2029-30 £m
Government Funding Allocation	-276.633	-259.126	-237.750	-215.967	-215.967
Recovery Grant	-1.281	-1.281	-1.281	-1.281	0
100% Income Protection		-5.861	-14.816	-23.343	0
Recovery Grant Guarantee		-11.667	-11.667	-11.667	0
Un-Ringfenced Funding	**-277.914**	**-277.935**	**-265.514**	**-252.258**	**-215.967**
Homelessness, Rough Sleeping and Domestic Abuse Grant	-9.085	-8.409	-8.213	-8.486	-8.486
Children, Families and Youth Grant	-4.916	-6.191	-6.148	-5.442	-5.442
Crisis and Resilience	-0.952	-5.204	-5.201	-5.151	-5.151
Public Health Grant*					
Ringfenced Consolidated Grants	**-14.954**	**-19.804**	**-19.562**	**-19.079**	**-19.079**
Total Government Funding	**-292.868**	**-297.739**	**-285.076**	**-271.337**	**-235.046**

*Public Health grant included for completeness but accounted for outside general fund spending as a separate specific ring fenced grant.

Funding Allocation

2.11 The implementation of FFR 2.0 has meant significant reductions in this funding stream for Lambeth as our calculated share of national need less resources (Fair Funding Assessment (FFA)) has fallen under the new formula. As part of transitional arrangements, changes have been phased in over 3 years so we reach our new lower funding level in 2028-29 rather than as a cliff edge in 2026-27. This is further tempered by 100% income protection and recovery grant guarantee as detailed below.

2.12 As part of the Government’s funding simplification, 17 funding streams have been consolidated into the Revenue Support Grant, 15 of which are now distributed using the new FFA. As Lambeth’s FFA is generally below the shares previously used, we will see a fall in resources.

2.13 Funding under this heading is generally un-ringfenced, however, a special arrangement is in place for Social Care. The Department for Health and Social Care (DHSC) has launched a new publication setting out adult social care priorities and expectations from 2026-27. Notional allocations have been set for each local authority, and further arrangements are to be announced on the new reporting requirements. In addition, part of Revenue Support Grant (RSG) is ringfenced for the Local Authority Better Care Fund to fulfil the requirement to pool funding with the NHS under the Better Care Fund Framework.

Recovery Grant, 100% Income Protection and Recovery Grant Guarantee

2.14 The recovery grant and 100% income protection ensure that Lambeth's funding level from 2026-27 to 2028-29 matches the equivalent cash total in 2025-26. However, this protection assumes a high level of council tax increase due from tax base growth that is unlikely to be achievable in the short term and is therefore a concern. This is an area that was highlighted as part of our response to the Government's provisional settlement consultation.

2.15 Secondly, Lambeth is one of four councils that have their financial support under the Recovery Grant Guarantee capped at £35m which means instead of the stated 5% increase in 2026-27, our CSP increase for 2026-27 is limited to 2.6% and 0% in 2027-28 and 2028-29 instead of an additional 1% in each year. That already includes the higher than achievable assumption for council tax base growth used in the 100% income protection calculation above. Without the £35m cap being applied, we could receive a further £47.5m over 3 years (£10.9m, £15.8m, £20.8m respectively). Again, this was raised in our consultation response back to Government as a key concern.

2.16 In 2026-27, 4% of our total funding is from transitional protection and recovery, which while helpful for the 2026-27 budget position, does not resolve long term budget pressures beyond the period of protection. The cliff edge due to the fall in funding share is simply moved to 2029-30.

Ringfenced Consolidated Grants

2.17 The second strand of funding simplification brings together 16 previously separate funding streams into the four ringfenced grants. As most of these were existing funding streams, Lambeth's gains and losses compared to 2025-26 will depend on the change between the old and new distribution method.

2.18 <u>Homelessness, Rough Sleeping and Domestic Abuse Grant</u> is made up of the prevention and relief element (55%) of the Homelessness Prevention Grant, Rough Sleeping Accommodation Programme, Rough Sleeping Prevention & Recovery Grant and Domestic Abuse Accommodation Support. Lambeth's total allocation in 2025-26 for these funding streams was £9.085m and will fall to £8.409m in 2026-27.

2.19 <u>Children, Families and Youth Grant</u> is made up of the Children's Social Care Prevention Grant, Support Families element of the Children and Families Grant, Holiday Activities and Food Programme, Post-16 Pupil Premium Plus Programme and new funding for Children's Social Care Reform. Lambeth's total allocation in 2025-26 for these funding streams was £4.916m and will increase to £6.191m in 2026-27.

2.20 <u>Crisis and Resilience Grant</u> brings together the successor to the Household Support Fund and Discretionary Housing Payments. Lambeth's total allocation in 2025-26 for these funding streams was £5.747m, with £0.952m for Discretionary Housing Payments and £4.793m for the Household Support Fund. As the Household Support Fund was not expected to continue, it is not included in 2025-26 above for comparison purposes. The combined total in 2026-27 will be lower at £5.204m. The expectation is that the DHP element remains at the 2025-26 level.

2.21 Public Health Grant adds the Drug and Alcohol Treatment and Recovery Improvement Grant, Local Stop Smoking Services and Support Grant, Local Stop Smoking Services and Support Grant and Swap to Stop programme to the Public Health Grant. This is a fully ringfenced specific grant so while included for completeness, it is accounted for separately.

Council Tax

2.22 The provisional settlement has confirmed the referendum and Social Care precept limits over the next 3 years at up to 3% and 2% respectively. As our share of national funding falls, the proportion of total resources the Government expects will be coming from council tax increases and will rise from 37.2% in 25-26 to 46.9% in 2029-30.

2.23 We have reduced our assumptions around the growth of the council tax base after reviewing actual billing information. Much of the increase in recent years has been due to national policy chances such as extending the long-term empty premium and the introduction of the second home premium. There is currently no further legislation in place for more changes to premiums and discounts. In fact, if the policy goals for the premiums are achieved, then our tax base will decrease as the premium can no longer be charged once the homes cease to be second homes or long term empty.

Business Rates Retention Scheme

2.24 In preparation for further localisation of business rates, all 32 London Boroughs, the City of London Corporation and the Greater London Authority were part of a London-wide business rates pool arrangement from 2016-17 to 2020-21. However, due to the uncertainty around business rates income brought on by the pandemic, the boroughs decided not to continue with the pooling arrangement after 2020-21.

2.25 The councils continued to monitor the position and as a result have taken the decision not to form a pool for 2026-27. However, all parties will continue to monitor the situation and remain open to pooling when circumstances are more suitable.

Changes to the MTFS since July

2.26 In July, the MTFS was agreed by Cabinet, setting out the funding gap for the next four years, to 2029-30. The total gap over the four years of the MTFS amounted to £84.378m. Since that time, officers have, as a priority, continued to review the costs of service pressures within the MTFS.

2.27 The Q2 Financial Performance report for 2025-26 (reported to Cabinet on 24 November 2025) shows a forecast overspend of £17.642m. Our forecast shows the main overspending areas to be on Temporary Accommodation which accounts for £20.258m of this variance with £6.363m in Children, Families and Education and £6.873m for Integrated Health and Adult Social Care. As part of the budget setting process for 2025-26 a corporate provision was set aside in respect of the demand led areas of spend which mitigates the majority of these overspends. However, there is also a significant overspend in debt interest and an emerging issue in services in Growth & Environment. Measures are being taken to reduce spend and we are revisiting our budget assumptions in the MTFS in respect of these areas.

2.28 We reported in Q2 that we were in conversations with Government regarding Exceptional Financial Support (EFS). Like many other London boroughs, we have now submitted an application. This is required to address historical and current year issues and to improve our reserves position. Given the pressures we face going forward and the time required to deliver the significant change needed we have also applied for EFS to balance next year's position. EFS comes in the form of a capitalisation direction which means that we can borrow or generate capital receipts to fund revenue costs. We are aiming to minimise borrowing and utilise capital receipts, as far as possible, as the cost of repaying this borrowing and interest charges will have an impact on our revenue budgets.

2.29 We expect to have an indication of the outcome of our application in early February. It is important to note that a successful EFS will give us time to implement the changes that will be required, it does not address our underlying financial pressures and we therefore need to continue with our ambitious programme of transformation to return to a sustainable financial position. We continue to revisit assumptions and develop proposals as required to balance the budget for 2026-27 as a priority and also over the MTFS period incorporating the outcome of the Provisional Local Government Finance settlement. The full update to the MTFS will be presented as part of the Budget Report due at Cabinet in late February and Council in early March.

Saving Proposals 2026-27 to 2029-30

2.30 Since July 2025, £28.269m of new savings have been approved over the MTFS period with £14.249m for 2026-27. Alongside savings previously agreed, this comes to a total of £77.691m of savings proposals, making a significant impact to reduce the council's budget gap over that timeframe.

2.31 A further £18.643m over the planning period is proposed, with £7.769m of that total for 2026-27. These proposals will have been considered by the Equity and Justice Panel and the Overview and Scrutiny Committee by the time of this Cabinet meeting.

Table 2A New Proposed Savings by Directorate

	2026-27 £000	**2027-28** £000	**2028-29** £000	**2029-30** £000	**Total** £000
Integrated Health and Adult Social Care	790	2,040	1,650	120	**4,600**
Children, Families & Education	735	4,424	2,214	426	**7,799**
Growth & Environment	4,834	-	-	-	**4,834**
Resources	1,410	-	-	-	**1,410**
Totals	**7,679**	**6,464**	**3,864**	**546**	**18,643**

Table 2B Total Savings by Directorate including November Proposals

	2026-27 £000	**2027-28** £000	**2028-29** £000	**2029-30** £000	**Total** £000
Integrated Health and Adult Social Care	2,578	2,040	1,650	120	**6,388**
Children, Families & Education	2,010	5,294	2,764	426	**10,494**
Housing Services	3,397	6,300	6,300	-	**15,997**
Growth & Environment	8,384	-	-	-	**8,384**

Resources	5,649	-	-	-	**5,649**
Totals	**22,018**	**13,634**	**10,714**	**546**	**46,912**

2.32 These levels of savings cover a range of service areas and the council will work to mitigate any negative impacts wherever possible.

Directorate specific commentary on current challenges and savings risks

Growth and Environment

2.33 The Directorate as a whole is currently forecasting an overspend position for the year. Within that there are pressures, primarily due to the reprofiling of savings and a number of one-off pressures, the key ones being Leisure centres repairs and maintenance, additional food waste disposal costs and some income shortfalls. These pressures are being partially offset by grant relating to Food waste and s106 monies.

2.34 For the proposed savings, there is some risks around the timing of the implementation, as a number of proposals are reliant on consultations being completed and decisions taken, If there is any delay in that process the implementation date will be re-profiled to reflect the actual delivery timeline, which the Directorate has mapped. In addition, a number of the savings relate to additional income generation so are reliant on those sources of income being successfully generated. Levels of demand and risk have been modelled and any potential variance from this will be mitigated through close monitoring and reporting.

2.35 The council’s commercial property portfolio and planning and building control services have been impacted by the wider economic conditions and these continue to have a significant impact on those income streams through depressed demand for planning and building control services. The directorate has had success in securing funding for a large part of its activities through grants and other contributions, however, the future availability of these are again determined by economic factors that the directorate cannot directly influence and will therefore be closely monitored.

Housing General Fund

2.36 Providing suitable temporary accommodation for households that are homeless and have a priority need is a statutory duty. However, the rising cost of temporary accommodation is unsustainable, both locally and nationally. Between 1 April 2023 and 31 March 2024, Lambeth saw a 16% increase in households needing temporary accommodation. In addition, the rates paid for these placements increased by 14%, resulting in a 30% increase in expenditure for Temporary Accommodation.

2.37 This demand and increase in rates have continued into 2024-25 before policies were implemented to limit the rates of new Temporary Accommodation and discharge homeless families into Private Rented properties. This stabilised the expenditure growth but resulted in the 2024-25 outturn exceeding £100m of expenditure on Temporary Accommodation.

2.38 Temporary accommodation income from Housing Benefit and rents is based on 2011 Local Housing Allowance and so has not kept up with the growth in expenditure over the past 13 years. Income from TA rents funds less than 40% of the cost of the accommodation. In 2024-25 the £100m of expenditure was only matched with £40m of rental income resulting in a £60m burden on the Council. Initiatives on prevention and move-on are aiming to reduce the numbers of families coming into TA and enabling them to move into secure housing more quickly, but there is limited affordable alternatives within London, and increasingly the Housing Needs Service are needing to looking further afield for affordable housing solutions for those in housing need.

2.39 Due to the increasing numbers of properties and cost during 2024-25, the full year (52 weeks) cost of TA in April 2025 was higher, at £115m. However, with continued initiatives in prevention and move on, and reducing the rates paid for TA, the 2025-26 expenditure is forecast in line with 24-25 at £105m. The reductions have a positive impact on 2026-27 where for the start of 2026-27, it is forecast the full year cost in April will have reduced to £90m, with further reductions achieved during the year to come in on budget by the end of 2026-27.

2.40 For 2026-27 savings initiatives have been implemented to reduce the cost of TA and increase the rent that can be charged and claimed from Housing Benefit. These savings total £4m in 2026-27 and increase to £9m in 2026-27 and beyond. These savings are reliant on properties being available at suitable rates, and landlords willing to lease the properties with the appropriate structure.

Children, Families and Education

2.41 Placement and workforce costs within Children's Social Care remain the main areas of budgetary challenge for the directorate. The placement pressures have continued during 25-26, but the directorate continues to press down on these costs, and it is a volatile budget where an additional one or two children can quickly represent significant additional costs. During 25-26 there has been an increase in permanent Social Care staff (through proactive absorption of agency staff and permanent recruitment) which has enabled a significant reduction in the number and cost of agency staff.

2.42 For the proposed savings, the initial £722k total savings is across three areas (Increase in-house foster carers; Prevention of care starts; and Routes out of care) which have been identified following the external review by Newton Impact. There are significant further savings profiled through those initiatives for future years.

Adult Social Care

2.43 Central government has set out three priority outcomes for Adult Social Care which local authorities are expected to align with: ensuring a skilled workforce delivers quality care, promoting independence and choice for service users, and achieving joined-up health and social care and funding has been simplified to reduce the number of grants which need to individually be reported against.

2.44 Greater numbers requesting support, increased complexity of care and rising costs of providing care remain the most significant pressures on the Adult Social Care budget in 2026-27, driven largely through higher levels of need, larger packages of care, and inflation in spot placement costs.

2.45 Areas seeing sustained demand include nursing care for Older People, which has risen steadily since 2021-22 and is expected to continue, with additional demand often met through spot provision. Provider operating costs remain under pressure from broader inflation, National Insurance changes, and wage policy. The National Living Wage (NLW) is projected to rise by around 4.1% from April 2026 (central estimate £12.71), and the London Living Wage

(LLW) increased to £14.80 in October 2025, with implementation deadlines extending into May 2026, all of which continue to feed through to care home and domiciliary care fee rates.

2.46 As an LLW employer, the Council is committed to paying sustainable fee rates enabling providers to meet workforce requirements. National guidance also expects councils to commission at rates that stabilise the workforce and prepare for employment rights reforms, with an anticipated Fair Pay Agreement for adult social care in the later years of the planning horizon.

2.47 Actions taken to manage demand include a number of commissioning exercises undertaken to transition away from spot placement provision in key areas of demand towards more structured commissioning arrangements which will provide greater stability in provider availability and pricing, while aligning with higher standards of care. Other programmes of work are in train to review delivery models to both provide better value for money while meeting the care needs of the local population.

Public Health

2.48 The Public Health Grant remains a core component of the Integrated Health and Adult Social Care budget. From 2026-27, the grant transitions to a multi-year settlement covering 2026–27 to 2028–29, offering improved budget stability despite final allocations pending confirmation, as well as consolidating the Public Health Grant with other related grants. The 2025-26 grant was set at £3.858 billion, an uplift of 5.4% which included additional NHS pay award funding. Contracts remain exposed to national NHS pay award uplifts, requiring careful forecasting to ensure pay inflation can be met within existing grant parameters.

2.49 The division's savings proposals will achieve savings within grant funded public health services, which provides an opportunity to review services provided elsewhere in the Council which deliver on public health outcomes. The largest risks to savings delivery are around those proposals such as joint commissioning and sexual health services which require cross-borough service commissioning. This will require significant work with other South East London boroughs to commission services jointly which deliver benefits and cost savings for all boroughs involved.

Resources

2.50 The Directorate as a whole is currently forecasting an overspend position for the current year with the main pressures relating to staffing, which accounts for almost all of the controllable budget. The majority of this pressure is in the Finance Division where overspends have accumulated due to the need to use agency and interim staff to fill posts where permanent skilled workers have been difficult to recruit and to provide additional supernumerary resource over and above the baseline establishment.

2.51 The MTFS has identified significant savings targets across the Resources Directorate over the next four years including amounts to be delivered in 2025-26. Implementation of these plans will continue to be mindful of the need to safeguard the statutory responsibilities of the s151 Officer and the council's finance function.

HOUSING REVENUE ACCOUNT

2.52 The HRA has had year on year deficits because of successive Government Rent policies resulting in annual rent increases not keeping pace with inflation and the cost of additional Government regulation. In recent years, the legal costs relating to disrepair claims have escalated resulting in greater levels of deficit in the HRA. In March 2024, the HRA had £14m of reserves, reducing to £6m at March 2025.

2.53 The Council's HRA was awarded £40m of the Government's Exceptional Financial Support (EFS) for 2025-26 which has been earmarked for the backlog of housing disrepair cases. In addition, costs, income and recharges have been scrutinised to ensure they are value for money and are appropriate which has resulted in a circa £10m underspend forecast for 2025-26.

2.54 The reduction in housing disrepair cases is critical for the ongoing viability of the HRA and whilst there has been a slow reduction in the total number of cases, there continue to be new cases coming forward. Resources, processes and reporting have been put in place to monitor the performance of disrepair and the reduction in cases.

2.55 The HRA will set a 5-year recovery plan to build reserves back up to an appropriate level. The recovery plan will form the basis of a viable and affordable 30-year HRA business plan. The business plan will have to manage the demands from the investment required in the housing stock, the ambition for regeneration and new Council homes and additional regulatory burdens placed on housing by the Government.

Capital Investment Programme

2.56 A fundamental review of the Council's capital programme has been undertaken with the aim of reducing forecast levels of borrowing, ensuring there are robust governance arrangements in place and clear alignment with Lambeth 2030.

2.57 The budget report will incorporate an updated capital programme for both General Fund and Housing projects. The current five-year programme will be replaced with a 10 year time horizon. This allows for the longer-term nature of capital projects and assists with assessing the long-term financial impacts across administrations. The programme will look to minimise borrowing, utilising grant funding and CIL & section 106 funding for additional investment.

Reserves Strategy and Forecast

2.58 The budget report going to Full Council in March will include an updated Reserve Strategy. As has been reported over the past year, the Council's reserves have been considerably depleted as a result of several years of extreme cost pressures, particularly in temporary accommodation. Whilst considerable work is underway to address spend in these areas they have impacted on our reserves and our financial resilience.

2.59 The Reserves Strategy will set out the Council's approach to ensuring that the level, purpose and planned use of its reserves are appropriate in the current financial climate. Underpinning our strategy will be the S151 officer's requirement to build our general reserves (i.e. unearmarked balances) to 10% of net revenue expenditure. This equates to around £45m.

2.60 The table below shows our reserve position as at the end of 2024-25.

Table 3 Reserves as at end of 2024-25

Reserves by Category	Opening Balance £000	Top Up £000	Planned £000	Capex £000	YE £000	Closing Balance £000

Capital	22,820	9,527	-4,712	-0,510		27,125
Technical	12,012		-1,094			10,918
Departmental	28,889	10,393	-9,681		-20,810	8,791
Corporate	4,622	0,700	-1,438			3,884
Financial Risk	25,341		-4,841		-20,500	0
GF Balances - Unallocated reserves	29,999				-24,999	5,000
Grand Total	**123,683**	**20,620**	**-21,766**	**-0,510**	**-66,309**	**55,718**

2.61 The time it will take to restore our financial resilience by improving our reserve position is reliant on the outcome of our EFS application, as discussed above.

3. FINANCE

3.1. This report in its entirety is about the council's financial position and the implications for service planning and delivery.

4. LEGAL AND DEMOCRACY

4.1. The Council has a duty to maintain a balanced budget throughout the year and, accordingly, members are required to regularly monitor the Council's financial position. In implementing the Council's financial strategy for 2026-27 and subsequent years, members will need to balance the proposed level of expenditure in discretionary areas of service provision against that required to ensure that the Council complies with its statutory duties.

4.2. Section 28 of the Local Government Act 2003 imposes a duty on the Council to monitor its budgets throughout the financial year, using the same figures for reserves as were used in the original budget calculations. The Council must take necessary appropriate action to deal with any deterioration in the financial position revealed by the review.

4.3. The Housing Revenue Account is a ring-fenced account. Transfers to and from the account are set out in legislation.

4.4. In reaching decisions on these matters, members are bound by the general principles of administrative law. Lawful discretions must not be abused or fettered, and all relevant considerations must be taken into account. No irrelevant considerations may be taken into account, and any decision made must not be such that no reasonable authority, properly directing itself, could have reached. Members must also balance the interests of service users against those who contribute to the Council's finances. Monies may not be expended thriftlessly and the full resources available to the Council must be deployed to their best advantage. Members must also act prudently and in a business-like manner at all times.

4.5. In considering the advice of officers, and the weight to be attached to that advice, members should have regard to the personal duties placed upon the Corporate Director of Resources as Chief Financial Officer. The Chief Financial Officer is required by Section 151 of the Local Government Act 1972 and by the Accounts and Audit Regulations 2015 to ensure that the Council's budgeting, financial management, and accounting practices meet relevant statutory and professional requirements. In the event that the Council's overall financial position worsens considerably during the remainder of 2025-27, the Corporate Director of Resources will need to have regard to the statutory obligations which are placed on her personally when deciding on any particular actions to be recommended to Members to address her concerns.

4.6. This proposed key decision was entered in the Forward Plan on 10 November 2025 and the necessary 28 clear days' notice has been given. The report will be published for five clear days before the decision is considered by Cabinet (Constitution, Part 7, Chapter A). Should it be approved and following the publication of the Cabinet minutes, a further period of five clear days, the call-in period, must then elapse before the decision becomes effective. If the decision is called-in during this period, it cannot be enacted until the call-in has been considered and resolved.

5. CONSULTATION AND CO-PRODUCTION

5.1. During September and October, the council carried out its largest ever budget engagement exercise to hear the views of local people and community organisations about how the council should deal with its budget challenge. With a major communications campaign to reach all parts of the borough using a range of digital and traditional communications methods, over 5,000 local residents, businesses and community groups responded to the budget survey and gave their views on what services should be prioritised, how the council should save money and their ideas for how we can raise money. Though the respondents were a self-selecting sample rather than fully representative of the population, the council made sustained efforts to reach groups who are less likely to respond to council surveys through attending specific events with groups who use council services and developing an easy read survey in our libraries, and the results are a valuable source of input from residents into our budget priorities. These have been factored into the recommendations for the council's Medium Term Financial Strategy and 2026-27 Budget setting process.

5.2. Over two-thirds of residents indicated that maintaining services for vulnerable people was important or very important to them and that has been a core part of the council's budget setting approach. Many services for vulnerable people are statutory requirements for the council to carry out, and while ensuring every service is delivered in the most efficient way possible is a key of aim of our financial transformation, protecting vulnerable people has been at the heart of the budget decisions the council has made. This is particularly true in relation to looking after vulnerable children which was the one of the top three priorities selected by residents in the survey to spend money on. The council has increased its spending on children and young people by over £32 million in the last three years, and our budget proposals are focused on investing in intervening earlier to help reduce the number of children taken into care, to boost the number of in-house foster carers and to support more children out of care and into more suitable and permanent accommodation and support that better suits their needs. This is a key aim of recent government policy changes to embed a Families First approach which the council welcomes alongside the additional government investment for support for children and young people made through the recent Fair Funding reforms.

5.3. Two of the other top three most selected priorities for the council to spend money on were cutting violence and anti-social behaviour and waste, recycling and street cleaning. For 2026-27, we will continue to prioritise these areas through the council's award-winning work to tackle violence against young people and women and girls, continuing to improve and enhance street cleanliness and cracking down on fly tipping through enforcement and quick responses.

5.4. Residents who completed the council's budget survey showed significant support for a range of ways to save or raise money that the council is already progressing as part of our drive to use council taxpayers' money as efficiently as possible. That includes renting out council buildings to other organisations, with the council already having reduced its office footprint significantly in the last few years by reducing core council buildings from 14 down to 2, and progressing plans to rent out floor space in the Civic Centre subject to agreeing appropriate lettings. The majority of respondents also supported partnering with community organisations to deliver services where that can help deliver them at a lower cost, which is a core part of the council's service delivery model across a range of services including health and social care and youth services. Residents were also keen to see an expansion of commercial partnerships, including holding more commercial events to help generate income to maintain key services which is a core part of the council's Events Strategy. There were also a range of organisational efficiency suggestions which are key features of the council's financial management approach, including reducing the number of senior staff at the highest grades in the council by 20%, reducing the number of council directorates from seven to five and using technology to make services more efficient and effective for residents.

5.5. We'd like to express our thanks to all residents and community organisations who took the time to share their views and suggestions about how we can work together to tackle the council's budget challenge.

6. RISK MANAGEMENT

6.1. None for the purposes of this report.

7. EQUALITIES IMPACT ASSESSMENT

7.1. This report continues the annual budget setting process and presents the key headlines from the current year. It follows the November 2025 Quarter 2 2025/26 Budget Monitoring Report, setting out the ongoing or new pressures and opportunities together with indicative funding likely to be available for the next financial year.

7.2. The report sets out the progress made in bridging the gap in the council's budget, setting out new savings proposals by directorates totalling £18.643m. It also reports on the results of the council's budget engagement exercise with residents, and the announcement of the draft Local Government Settlement in December 2025.

7.3. The council's decisions about where to make savings; where to invest; and how to transform services are informed by the strategic objectives and priorities set out in the Borough Plan – Lambeth 2030: Our Future, Our Lambeth.

Our Organisational Approach to Equalities

7.4. The borough plan: *Lambeth 2030, Our Future, Our Lambeth* clearly states, 'By 2030, Lambeth will be a fair and equitable borough, which seeks and delivers justice in all we do'.

7.5. As a public sector organisation, we have a legal duty (under the Equality Act 2010) to show that we have identified and considered the impact and potential impact of our activities on all people with 'protected characteristics' (age, disability, gender reassignment, pregnancy and maternity, race, religion or belief, sex, sexual orientation, and marriage and civil partnership).

7.6. Additionally, informed by local evidence, the council also assesses the impact and potential impact on specific groups of disadvantaged residents as if they were protected characteristics, through considering their social and economic classification (SEC), health status, their speaking English as an Additional Language (EAL) and care experience.

Budget Equality Analysis Approach

7.7. At a minimum, initial equalities analyses have been undertaken of all 22 of the savings proposals at this stage based on information currently available. Full Equality Impact Assessments will be undertaken for those where potential adverse (high or medium negative) impact has been identified. Several of these have already been completed. Equality Impact Assessment is an ongoing process and, where necessary, further assessment will be undertaken of proposals as part of the Council's decision-making processes and appropriate changes will be made accordingly.

7.8. The aim of this approach is to identify proposals that may have a significant negative impact on any protected group early so that these can be taken into account by the council when taking a final decision on the budget. Where possible, mitigating actions against adverse impacts have been and will continue to be identified. Where possible, individual assessments were informed by service user and resident data pertaining to all groups with protected characteristics.

Our Analysis

7.9. Overall, this set of budget proposals are likely to result, on balance, in a neutral impact on groups with protected characteristics, under the Equality Act 2010. Where negative impacts have been identified for two proposals, mitigating measures have or will be developed. As proposals are progressed further, assessments will be built upon, re-assessed where appropriate and any further mitigating measures identified to reduce negative impacts on any groups with protected characteristics. If necessary, they will be reconsidered by the Equity & Justice Member Panel.

Equity and Justice Member Panel

7.10. A consolidated initial equalities analysis by directorate covering the 22 saving proposals was considered by Panel on 22 January 2026. These savings represented a total value of £18.643m. 2 proposals were anticipated to have a negative impact on groups with protected characteristics, 12 neutral, 5 positive, 3 yet to be confirmed but expected to be neutral or positive.

7.11. The Panel advised on ensuring mitigations considered how to best communicate the changes to residents, particularly, those with English as a secondary language and support remains accessible and inclusive, including to those who do not have strong digital skills.

Next Steps

7.12. It is important to re-iterate that the approach for assessing the equalities impact of savings proposals is an on-going process. Any further relevant updates to the equalities analysis of the proposals considered in this report (and those considered on 22 January) will be provided as part of the March 2026 Budget Report.

8. COMMUNITY SAFETY

8.1. None for the purposes of this report.

9. ORGANISATIONAL IMPLICATIONS

Environmental

9.1. None for the purpose of this report, although the environmental impact of particular proposals will be considered as part of the budget process.

Health

9.2. None for the purpose of this report.

Corporate Parenting

9.3. None for the purpose of this report.

Staffing and accommodation

9.4. None for the purpose of this report.

Responsible Procurement

9.5. None for the purpose of this report.

10. TIMETABLE FOR IMPLEMENTATION

10.1. The changes to the MTFS will inform the financial planning in preparation for the 2025-29 Medium Term Financial Strategy and the Budget for 2025-26.

Activity	Proposed Date
Date published on Forward Plan	10 November 2025
Publication on Decisions online	
Cabinet Member Decision	
End of Call-in Period (key decisions only)	

AUDIT TRAIL				
Name and Position-Title	**Lambeth Directorate**	**Date Sent**	**Date Received**	**Comments in paragraph:**
Councillor Claire Holland, Leader	Leader of the Council	22-01-2026		
Councillor Judith Cavanagh, Cabinet Member	Acting Cabinet Member for Finance	22-01-2026	23-01-2026	Throughout
Ian Davis, Chief Executive	Chief Executive	22-01-2026		
Zena Cooke, Corporate Director of Resources	Resources	16-01-2026	22-01-2026	Throughout
Jacqueline Moylan, Interim Director of Finance	Resources	05-01-2026	19-01-2026	Throughout
Ryan Devlin, Director of Strategy and Communications	Resources	14-01-2026	23-01-2026	Section 5 and 7
Andrew Pavlou, Principal Lawyer Governance	Resources	09-01-2026	13-01-2026	Section 4
Mary Bosah, Democratic Services Officer	Resources	09-01-2026	16-01-2026	Section 4

REPORT HISTORY	
Original discussion with Cabinet Member	22-07-2025
Report deadline	21-01-2026
Date final report sent	23-01-2026
Part II Exempt from Disclosure-confidential accompanying report?	No
Key decision report	Yes
Date first appeared on forward plan	10-11-2024
Key decision reasons	2. Financial
Background information	1. Local government finance policy statement 2026-27 to 2028-29 - GOV.UK 2. Budget 2025 in full - GOV.UK 3. Provisional Local Government Finance Settlement 2026-2027 to 2028-2029 - GOV.UK 4. Budget Report 2025-26 to Budget Council 05 Mar 2025 5. MTFS report to 28 July 2025 Cabinet 6. Quarterly Performance and Budget Report: Q2 2025-26
Appendices	Appendix 1 – 2026-30 New savings proposals Appendix 2 – Budget Engagement Summary